

about the pension annuities I introduced in Chapter 9, “Annuities Are Personal Pensions,” as well as some of the demographic trends in aging. And, as much as it pains me to admit this, the attendance isn’t great for that lecture. I’m lucky if I get 60% of my enrolled students, and many of those who do bother to show up spend much of the time text-messaging, pod-casting, and whatever else they can do to pass the time. The following week, which is devoted to estate planning, is even worse. In fact—and I’m only half joking here—if you have some extra altruistic energy on your hands and want to take on a challenge, try spending time with a bunch of teenagers explaining the minutia of calculating Social Security payments early on a Monday morning, no less.

And to be honest, I can’t say I blame them. These kids are just not interested in retirement income planning. It is 40 years ahead of its time for them. To many of them that might as well be infinity. They are concerned with finding their dream job, getting rid of their student loan debt, and hopefully accumulating some savings. Even the topic of buying a home is distant to them. The pension is outside their realm of experience.

Yet, when I have the occasional chance to interact with students’ parents and grandparents, the situation is very different. When I mention that I also teach and do research on pensions and retirement income planning, I feel like the only doctor at an evening cocktail party. Everyone wants free advice.

In fact, the personal interest in pension matters extends to my academic colleagues at the University. Around the age of retirement, all members of our pension plan must decide whether to take a lump-sum settlement and invest and manage it themselves, or whether to keep the money in the plan and instead receive a monthly income. Many of these professors have heard that I might “know something” about this issue, and I get a steady stream of biology, chemistry, and engineering professors visiting my office for a consultation around the time of their big decision. They are wondering whether they should take the money and run, hoping to get a better deal themselves. (Interestingly, I don’t get many humanities professors. I’m not sure why.)

But yet, the topic of pensions is more than just a matter of demographic interest. When I pose the question to my undergraduate students—which retirement arrangement would you rather have,